FINANCIAL ACCOUNTING & REPORTING

Suggested Answers
July-August 2025

Answer to the Question# 1(a) (i):

IAS 2

Accrual basis of accounting
The cost of unsold or unconsumed inventories is incurred in the expectation of future economic benefits. When such benefits will not arise until a subsequent accounting period, the related costs should be carried forward and matched with the revenue when it arises. The recognition of year-end inventories achieves this carry forward.

Going concern basis of accounting
The very act of recognizing closing inventories as assets implies that the business intends to continue in operational existence for the foreseeable future.

If the business did not intend to continue trading, its inventories would have to be written off as an item of expenditure during the period, unless there was clear evidence that they could be sold as part of the breaking up of the business. In this case, the selling price should be determined and inventories measured at the lower of cost and net realizable value in the usual way.

Answer to the Question# 1(a) (ii):

Suggested methods of valuing inventories
Given the limited information the following methods would be appropriate in the circumstances.

Raw material
IAS 2 allows either a first in, first out (FIFO) formula or a weighted average cost (WAC) formula.
Given the fact that clay is presumably continually added to the machinery, WAC would seem the most appropriate basis.

	Tk
100,000 kgs @ 30p	30,000
200,000 kgs @ 32p	64,000
20,000 kgs @ 3lp	6,200
320,000	100,200
= 31. 3p per kg	

Closing raw materials would therefore be measured at Tk 33,804 (108,000 × 31.3p).

Work in progress
This could be measured using a weighted average cost, given that total cost and total output are known.

Total output (800,000 + (60% × 50,000)	830,000 units
Total costs (excluding distribution costs)	Tk 747,000
Thus, average cost per unit Tk 747,000/830,000 = 90 Paisa	
Carrying amount of WIP (50,000 x 60% x 90p)	Tk 27,000

Finished goods
Again, a weighted cost could be used of 90p per unit. This would be applicable to 50,000 units, with the remaining 20,000 units being measured at net realizable value of 65p (75p – 10p).

	Tk
50,000 at 90p	45,000
20,000 at 65p	13,000
	58,000

Thus, inventories would appear as follows.

	Tk
Raw material	33,804
Work in progress	27,000
Finished goods	58,000
	118,804

Answer to the Question# 1(a) (iii):

Alternative valuation method for finished goods
If details regarding total costs were not known, adjusted selling price could be used since the cost structure is known.

Normal selling price (75p discounted price x 3/2)	112.5p
Less Gross profit (112.5 x 25/125)	(22.5)p
	90.0p

Thus, finished goods inventories would be measured as before.
IAS 2 allows the above practice, used by the retail industry, on the basis that the result can be a very close approximation to cost.

Answer to the Question# 1(b):

Public financial management (PFM) is a central element of a functioning administration, underlying all government activities. It encompasses the mechanisms through which public resources are collected, allocated, spent and accounted for.

Answer to the Question# 1(c):

The Bangladesh Public Financial Management Systems which cover primarily the areas of budgeting, funds flow, accounting and reporting, and auditing systems. Alike most public financial management there are four elements commonly recognised in public financial management. These four elements are planning, controlling, organising & directing, and decision making.

Answer to the Question# 2(a):

IAS 37 states that a single obligation should be measured at the best estimate of the liability; where other possible outcomes are mainly higher, then the best estimate should be a higher amount. In this case there is a significant chance that the first repair attempt will not succeed, therefore a provision for a larger amount should be made. So Rahman Ltd should accrue an amount in excess of Tk. 6,000,000 to allow for this.

Answer to the Question# 2(b):

Notes to the financial statements as at 31 December 2024 (extracts) Provisions

	Warranty provision (Tk.'000)	Compensation claim (Tk.'000)	Provision for closure of division (Tk.'000)	Total (Tk. '000)
At 1 January 2024	1,000	-	-	1,000
Utilized in the year	(600)	-	-	(600)
Profit or loss charge (balance figure)	400	9,500	16,000	25,900
At 31 December 2024 (Note 1 & 2)	800	9,500	16,000	26,300

The warranty provision is in respect of warranties provided to customers. The provision is based on the level of past claims.

The compensation claim provision is in respect of a claim made by a customer for damages as a result of a faulty computer supplied by the company. It represents the present value of the amount at which the company's legal advisers believe the claim is likely to be settled.

On 15 December 2024, Cosmo Ltd announced that it would be closing its loss making medical technology division. Details of the closure have been fully communicated to those affected. The cost of the closure, which began on 4 January 2025, is estimated at Tk. 16 million and completion is expected by 30 June 2025.

Contingent assets

Cosmo Ltd issued a claim against the supplier of the parts in respect of a compensation claim for the problems caused by the faulty computer. Lawyers have advised that this claim is likely to succeed and should amount to around 40% of the total damages (Tk. 3.8 million).

Working notes:

(1) Provision for closure of division

	Tk.'000
Employee redundancy costs	12,000
Lease termination costs	4,000
	16,000

(2) Warranty provision

Tk. 8 million x 10%	8,000

Answer to the Question# 3:

PARAGON COMPANY
Partial Statement of Financial Position
June 30, 2024

Summary:

8% Share capital – preference, Tk. 25 per value.		
Cumulative and non-participating,		
100,000 shares authorized 40,000		
Shares issued and outstanding – Note A	Tk. 1,000,000	
Share capital – ordinary shares, Tk. 10 per value,		
Tk. 300,000 shares authorized, 115,400 shares		
Issued with 1,500 shares held in the treasury	1,154,000	**Tk. 2,154,000**
Share premium – preference	760,000	
Share premium – ordinary	2,595,000	
Share premium – treasury	1,500	2,356,500
Retained earnings		636,000
Issues Treasury shares, (1,500 share)		58,500
Total equity		**Tk. 6,088,000**

Note A:

Paragon Company is in arrears on the preference shares in the amount of Tk. 40,000 [(40,000 shares × Tk. 25 ×.08) – (40,000 shares × Tk. 1)]

Account Balances

Share Capital – Ordinary	
	850,000
	50,000
	200,000
	54,000
	1,154,000

Share Premium – Ordinary	
	1,785,000
	170,000
	640,000
	2,595,000

Share Capital – Preference	
	1,000,000
	1,154,000

Share Premium – Preference	
	760,000
	2,595,000

Treasury Shares	
78,000	
	19,500
58,500	

Share Premium – T.S.	
	1,500

Retained Earnings	
	690,000
54,000	
	40,000
40,000	
	636,000

Note that the Paragon Company is authorized to issue 300,000 shares Tk. 10 par value ordinary shares and 100,000 shares of Tk. 25 par value, cumulative and non-participating preference shares.

Entries supporting the balances.

Entries

1.	Cash	2,635,000	
	Share capital – Ordinary		850,000
	Share Premium – Ordinary		1,785,000
2.	Land	220,000	
	Share capital – Ordinary		50,000
	Share Premium – Ordinary		170,000
3.	Cash	840,000	
	Share capital – Ordinary		200,000
	Share Premium – Ordinary		640,000

At the beginning of the year, Paragon had 110,000 ordinary shares outstanding, of which 85,000 shares were issued at Tk. 31 per share, resulting in Tk. 850,000 (85,000 shares at Tk. 10) of share capital and Tk. 1,785,000 of share premium on ordinary shares (85,000 shares at Tk. 21). The 5,000 shares exchanged for a plot of land would be recorded at Tk. 50,000 of share capital and Tk. 170,000 of share premium (use the current fair value of the land on July 24 to value the share issuance). The 20,000 shares issued in 2024 at Tk. 42 a share resulted in Tk. 200,000 of share capital and Tk. 640,000 of share premium.

Preference Shares

Cash		1,760,000
Share capital – Preference		1,000,000
Share Premium – Preference		760,000

The issuance of 40,000 preference shares at Tk. 44 resulted in Tk. 1,000,000 (40,000 shares at Tk. 25) of share capital—preference and Tk. 760,000 (40,000 shares at Tk. 19) of share premium—preference.

Treasury Shares

Nov. 30 Treasury Shares	78,000	
Cash		78,000
June 20 Cash	21,000	
Share Premium – Treasure		1,500
Treasury Shares		19,500

The 2,000 treasury shares purchased resulted in a debit balance of treasury shares Tk. 78,000. Later, 500 **(unfortunately in question the quantity of treasury shares sold was missing)** shares were sold at Tk. 21,000, which brings the balance down to Tk. 58,500 (1,500 shares at Tk. 39 per share).

The sale of the treasury shares above cost (Tk. 21,000 minus Tk. 19,500 cost) is recorded in a separate share premium amount.

Share Dividend

Dec. 15	Retained Earnings	54,000	
	Share Capital—Ordinary		54,000

Shares outstanding, beginning of year:	110,000	
	Treasury Shares (2,000)	
	108,000×5% =5,400	
	× Tk.10 per	Tk. 54,000

The 5% share dividend resulted in an increase of 5,400 shares. Recall that there were 110,000 shares outstanding at the beginning of the year. The purchase of 2,000 treasury shares occurred before the share dividend, bringing the number of shares outstanding at the time of the dividend (December 2023) to 108,000 shares. The resale of 500 treasury shares occurred after the share dividend.

Retained Earnings

The cash dividends only affect the retained earnings. Note that the preference shares are in arrears for the dividends that should have been declared in June 2024. Ending the retained earnings is the beginning balance of Tk. 690,000 plus net income of Tk. 40,000, less the preference dividend of Tk. 40,000 and the ordinary share dividend of Tk. 54,000 (5,400 shares at Tk. 10), resulting in an ending balance of Tk. 636,000

Answer to the Question# 4(a):

Pretax financial income	Tk. 100,000
Permanent differences:	
Fine for pollution	3,500
Tax-exempt interest	(1,500)
Originating temporary differences:	
Excess warranty expense per books (Tk.7,000 – Tk. 2,000)	5,000
Excess construction profits per books (Tk. 92,000 – Tk. 67,000)	(25,000)
Excess depreciation per tax return (Tk. 30 000 – Tk. 60 000)	(20,000)

Taxable income ..... Tk. 62,000

Answer to the Question# 4(b):

Temporary Difference	Taxable {Deductible} Amounts	Tax Rate	Deferred Tax	
			(Asset)	Liability
Warranty exists	Tk. (5,000)	40%	Tk. (2,000)	
Construction profits	25,000	40%		Tk. 10,000
Depreciation Totals	20,000	40%		Tk. 8,000
			Tk. (2.000)	Tk. 18,000

Answer to the Question# 4(c):

Current Tax Expense.....	24,800	
Deferred Tax Expense……..	16,000	
Deferred Tax Asset.....	2,000	
Deferred Tax Liability.....		18,000
Current Taxes Payable.....		24,800
Taxable income for 2025 [answer part (a)]		Tk. 62,000
Tax rate.....		× 40%
Income taxes payable for 2025.....		Tk. 24,800
Deferred tax liability: at the end of 2025 [part (b)...		Tk. 18,000
Deferred tax liability at the beginning of 2025.....		00
Deferred tax expense for 2025		Tk. 18,000
Deferred tax asset at the end of 2025		Tk. 2,000
Deferred tax assets at the beginning of 2025.....		00
Deferred tax benefit for 2025.....		Tk. (2,000)
Deferred tax expense for 2025		Tk. 18,000
Deferred tax benefit for 2025		(2,000)
Net deferred tax expense for 2025		Tk. 16,000
Current tax expense for 2025 (income taxes payable)	Tk. 24,800	
Deferred tax expense for 2025.....	16.000	
Income tax expense for 2025.....	Tk. 40,800	

Answer to the Question# 4(d):

Income before income taxes.....	Tk.100,000	
income tax expense		
Current.....	Tk.24,800	
Deferred.....	16,000	40,800
Net income after tax.....		Tk. 59.200

Answer to the Question# 5(a):

Financial statement extracts

Statement of financial position as at 31 December 2024

	Tk
EQUITY AND LIABILITIES	
Non-current liabilities	
Borrowings (1,000,000+80,000)	1,080,000
Deferred income (note 2)	2,800,000
Current liabilities	
Deferred income (note 2)	3,400,000

Statement of profit or loss for the year ended 31 December 2024

Revenue (note 1)	7,900,000
Finance cost (8%x1,000,000)	80,000

Working notes:

1. Revenue

Transaction (i) [3/20x4,000,000]	600,000
Transaction (iii)	
Sales [4,500,000-(500,000x120%x3)]	2,700,000
After sales support year 1 (500,000x120%)	600,000
Transaction (iv)	
Initial fee [5,000,000-(400,000x5)	3,000,000
Continuing fee year 1 (800,000x100/80)	1,000,000
	7,900,000

2.

Deferred income	Current	Non-current
Transaction (i) [4,000,000x12/20, 5/20)]	2,400,000	1,000,000
Transaction (iii) [500,000x120% for year 2 & 3)	600,000	600,000
Transaction (iv) [1,000,000-600,000 for year 2 to 5]	400,000	1,200,000
	3,400,000	2,800,000

Answer to the Question# 5(b):

Transaction (b) and substance over form

In a straight forward transaction its commercial effects is the same as its legal form. However, in more complex transaction the true substance of the transaction may be different from its legal form, with one party having the risks and rewards of ownership but another party having legal title to the asset.

In such circumstances recording the legal form of the transaction would not be sufficient to provide a fair presentation in the financial statements.

This transaction appears unusual as the initial sale is below fair value, which raises question about its substance. Pragati Limited has a call option significantly below the current fair value which is expected to increase over time. The terms of the transaction are that it is almost certain that the timber will be reacquired, hence this is essentially a sale and repurchase agreement.

Pragati Limited has retained the risks and rewards of ownership, even though legal title has passed. The transaction is effectively a financing agreement secured on the timber, and does not give rise to revenue. The proceeds of Tk. 1,000,000 are therefore recognized as borrowings in non-current liabilities. In the year ended on 31 December 2024, Pragati limited should recognize a finance cost of Tk. 80,000 (8% of Tk. 1,000,000) which will increase the borrowings.

Answer to the Question# 6(a)(i):

Complete disposal at year end (80% to 0%)

Consolidated statement of financial position as at 30 September 2024

	Dhaka Ltd Tk. '000	Khulna Ltd Tk. '000	Adjustment 1 Tk. '000	Adjustment 2 Tk. '000	Disposal Tk. '000		Consolidated Tk. '000
Non-current assets	360	270			(270)		360
Investment	324		(324)				-
Goodwill			36		(36)		-
Current assets	370	370			280	*	1,020
					*(650-370)		
							1,380
Share capital	540	180	(180)				540
Reserves	414	360	(180)	(36)	182		740
Non-controlling interest			72	36	(108)		-
Current liabilities	100	100			(100)		100
							1,380

Consolidated statement of profit or loss for the year ended 30 September 2024

	Dhaka Ltd Tk. '000	Khulna Ltd Tk. '000	Adjustment 1 Tk. '000	Adjustment 2 Tk. '000	Disposal Tk. '000	Consolidated Tk. '000
Profit before tax	153	126				279
Profit on disposal					182	182
Tax	(45)	(36)				(81)
	108	90				380

Owners of parent	108	90		(18)	182	362
Non-controlling interest				18		18
						380

Workings:

Note 1:

Goodwill	Tk. '000
Consideration transferred	324
NCL: 20% x (180+180)	72
	396
Net assets (180+180)	(360)
	36

Consolidation adjustment journal:		Tk. '000	Tk. '000
Debit	Goodwill	36	
Debit	Share Capital	180	
Debit	Reserve	180	
Credit	Investment		324
Credit	Non-controlling interest		72

Note - 2: Allocate profits between acquisition date and disposal date to NCI

	Tk. '000
Post-acquisition profit (360-180)	180
NCI share (20%)	

Of these, Tk. 18,000 (90,000 x 20%) relate to current year.

Consolidation adjustment journal:		Tk. '000	Tk. '000
Debit	Reserve	36	
Credit	Non-controlling interest		36

In addition, 20% of the profit of Khulna Ltd arising in the year are allocated to the NCI

Debit	Profit attributable to owners of parent	18	
Credit	Non-controlling interest		18

To allocate the NCI share of post acquisition profits in the current year.

Note - 3:

Profit on disposal of Khulna Ltd.	Tk. '000	Tk. '000
Fair value of consideration received		650
Less:		
Net assets at disposal	540	
Goodwill	36	
NCI (540 x 20%)	(108)	
		(468)
		182

Consolidation adjustment journal:		Tk. '000	Tk. '000
Debit	Cash	650	
Debit	NCI	108	
Debit	Disposal date liabilities of Khulan Ltd.	100	
Credit	Goodwill		36
Credit	Disposal date current assets of Khulan Ltd.		370
Credit	Disposal date non-current assets of Khulan Ltd.		270
Credit	Reserve		182

To recognize the group gain on disposal of Khulna Ltd.

Answer to the Question# 6(a)(ii):

Partial disposal: subsidiary to subsidiary (80% to 60%)
Consolidated statement of financial position as at 30 September 2024

	Dhaka Ltd Tk. '000	Khulna Ltd Tk. '000	Adjustment 1 Tk. '000	Adjustment 2 Tk. '000	Disposal Tk. '000	Consolidated Tk. '000
Non-current assets	360	270				630
Investment	324		(324)			-
Goodwill			36			36
Current assets	370	370			160	900
						1,566
Share capital	540	180	(180)			540
Reserves	414	360	(180)	(36)	52	610
Non-controlling interest			72	36	108	216
Current liabilities	100	100				200
						1,566

Consolidated statement of profit or loss for the year ended 30 September 2024

	Dhaka Ltd Tk. '000	Khulna Ltd Tk. '000	Adjustment 1 Tk. '000	Adjustment 2 Tk. '000	Disposal Tk. '000	Consolidated Tk. '000
Profit before tax	153	126				279
Profit on disposal					-	-
Tax	(45)	(36)				(81)
	108	90				198
Owners of parent	108	90		(18)		180
Non-controlling interest				18		18
						198

Working
Note - 1: Disposal
Adjustment is made to equity as control is not lost.

	Tk. '000
NCI before disposal 80% (360+180)	432
NCI after disposal 60% (360+180)	(324)
Required adjustment	108

Consolidation adjustment journal:		Tk. '000	Tk. '000
Debit	Current assets (cash)	160	
Credit	NCI		108
Credit	Reserve		52

Answer to the Question# 6(b)(i):

Partial disposal: subsidiary to associate (80% to 40%)

Profit on disposal	Tk. '000	Tk. '000
Fair value of consideration received		340
Fair value of 40% investment retained		250
Less:		
Net assets when control lost (540 -(90 x 3/12))	518	
Goodwill (Part (a))	36	
NCI (518 x 20%)	(104)	
		(450)
		140

Group Reserve

	Dhaka Ltd Reserve Tk.'000	Khulna Ltd Tk.'000	Khulna Ltd. 40% Reserve Tk.'000
At date of disposal	414		
Group profit on disposal	140		
Khulna Ltd: share of post-acquisition earnings (157.5 x 80%)	126		
Khulna Ltd: share of post-acquisition earnings (22.5 x 40%)	9		
	689		
At date of disposal (360-(90 x 3/12))	414	338	360
Retained earnings at acquisition	414	(180)	(338)
		158	23

Investment in associates	Tk.'000
Fair value at date control lost (new cost)	250
Share of post-acquisition reserve (90 x 3/12) x 40%	9
	259

Answer to the Question# 6(b)(ii):

Partial disposal: subsidiary to financial assets (80% to 40%)
Profit on disposal - as in part (i)

Group Reserve	Tk.'000
Dhaka Ltd's reserves	414
Group profit on disposal	140
Khulna Ltd: share of post acquisition reserves (157.5 x 80%)	126
	680
Khulna Ltd.	
At date of disposal (360 -(90 x 3/12))	338
Reserve at acquisition	(180)
	158

Retained investment at Tk. 250,000 fair value.

---The End---